



New Paradigm of Competitiveness: Sustainable Agriculture & Rural Livelihoods

India's rural sector is home to almost two-thirds of our population. The agricultural sector is the primary source of livelihood for 52 % of India's workforce. Yet, this sector contributes barely 17 % of the country's GDP. Fragmented and small sized land holdings, low productivity, inadequate infrastructure and poor last mile connectivity create a vicious cycle of low incomes and low investments, aggravating the challenge of rural poverty. Yields are woefully low, and despite possessing one of the largest tracts of arable land, total agricultural output is far below potential. Even with such low productivity, wastages are rampant due to inefficient infrastructure and weak market linkages.

It is obvious that by enhancing competitiveness of rural India, strong force multipliers can be unleashed to significantly alter the economic landscape of the future. To my mind, the drivers of this change lie in the following:

- First, to increase productivity through sustainable agricultural practices. This will require customised extension services to regenerate and enrich land fertility, enable better usage of scarce water resources and adopt best practices in crop management. A new thrust in R&D for development of agri-inputs, new varieties of seeds and climate resistant crops will secure sustained competitiveness;
- Second, to significantly enhance post-harvest management by creating efficient market linkages, building rural infrastructure and supporting the development of the value-added processed food sector. This will also contribute to reducing wastages in agriculture.
- Third, to utilise surplus land, released as a result of higher productivity, for other diversified economic activity utilising renewable raw materials. These include new opportunities for creating sustainable livelihoods in value-chains related to Food, Fuel, Feed and Fibre as well as in Cosmetic and Curative Lifestyle segments.

The focused efforts of the Government in building rural infrastructure and livelihoods through initiatives such as the Bharat Nirman and NREGA hold the promise of rapid rural transformation. Improved infrastructure and growing employment opportunities will progressively raise rural incomes and purchasing power. Indeed, these are the new markets of tomorrow.

You will be happy to know that ITC's deep engagement in rural India, nurtured over several years now, have built unique sources of competitive advantage for your Company. The enduring trust built with rural communities has positioned your Company to take advantage of the opportunities inherent in these growth markets.

As you know, your Company's e-Choupal network, that leverages Information Technology to empower farmers, is globally acknowledged for its contribution to the development of rural communities in India. Your Company's rich repertoire of agri-based interventions today not only addresses the core needs of farmers in terms of infrastructure, connectivity, price discovery and market access, but also provide a significant boost to farm productivity through extension services and research based agri-inputs. Initiatives like the 'Choupal Pradarshan Khet' bring sustainable agricultural

best practices to farmers and have demonstrated significant productivity gains. These interventions have helped transform village communities into vibrant economic organisations, by enhancing incomes and co-creating markets.

As of now, ITC's e-Choupals serve 40,000 villages and 4 million farmers, making it the world's largest rural digital infrastructure. This extensive network also provides a unique source of competitiveness to your Company's Packaged Foods Business, through its efficient supply chain and identity preserved procurement. It also strengthens your Company's competitiveness in servicing the requirements of international buyers who demand agri-products based on sustainable agricultural practices with associated stringent traceability assurance.

The e-Choupal Infrastructure also enables an efficient two-way flow of goods in and out of the villages. Apart from your Company's FMCG products, almost 70 other companies also ride this unique channel to offer rural consumers a wide spectrum of choice in a cost-effective manner. Recognising the growing role of chemical free fertilisers in sustainable agriculture, your Company has launched organic based farm inputs for integrated farm management. The neem-based branded Organic manures such as 'Wellgro Soil', 'Wellgro Crops' and 'Wellgro Grains' have already gained wide acceptance for their superior efficacy in soil nutrition and crop management.

I am convinced that sustained competitiveness for the future requires a deeper focus on Research & Development. In line with this belief, your Company has set up a dedicated state-of-the-art R&D Centre in Hyderabad with a focus on agri-sciences. It will engage in several competency areas such as Plant Breeding and Genetics, Agronomy, Microbiology, Molecular Biology and Silviculture.



Your Company's engagement with rural India is much broader and encompasses the creation of sustainable livelihoods through creation of community assets. Recognising the vital role of irrigation in supporting sustainable agriculture, ITC's Integrated Watershed Development initiative has helped create fresh water potential covering over 46,000 hectares in water-stressed areas. In addition, your Company's integrated animal husbandry services have reached out to over 3,00,000 milch animals creating avenues for non-farm based livelihoods. Nearly 2,00,000 children attend our rural supplementary education centres, and 20,000 women entrepreneurs have been created through 1000 self-help groups. The goodwill created by your Company's contribution to the well-being of rural communities will translate, over time, to loyal consumer franchise for ITC's goods and services and hence contribute to creating growing shareholder value.

The enduring appeal and competitiveness of your Company's business model lies in its ability to assist in the creation of markets by enhancing rural incomes before serving them to meet the commercial interests of its shareholders.